INDUSTRIALS · DIVERSIFIED MACHINERY

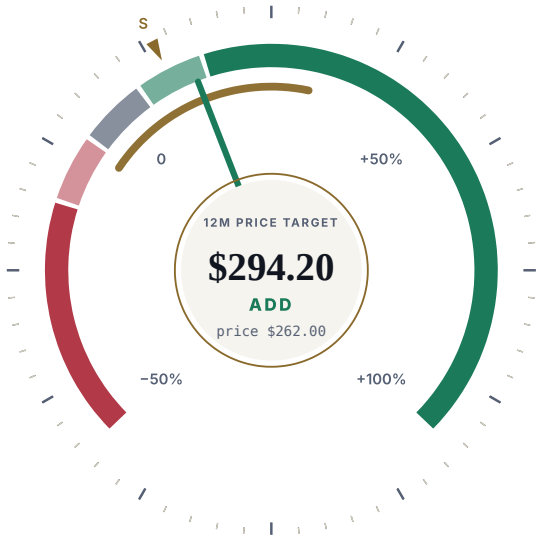
Meridian Industrials (illustrative) DEMO

STANDARD (FORWARD MULTIPLES + DCF)

ADD 12-month horizon · confidence **High**

12M PRICE TARGET	EXPECTED TOTAL RETURN
$294.20	**+13%**
bear $243.41 · bull $342.17	price +12% + yield 0.9%

FAIR VALUE TODAY	STREET CONSENSUS
$275.08	**$285.00**
$228.28 – $324.06	+9% · 24 analysts



Price $262.00 · Ke 9.26% · discount rate 9.10% · data: DEMO (synthetic)

01 INVESTMENT THESIS

We rate **Meridian Industrials (illustrative) (DEMO) ADD** with a 12-month price target of **$294.20** — a +12% move from $262.00 and a +13% total return including the dividend. The shares look undervalued on 3 lenses: Discounted cash flow (FCFF), Forward P/E, Forward EV/EBITDA. Their weighted fair value today is **$275.08**, rolled forward at the 9.3% cost of equity.

Meridian Industrials (illustrative) generated $85.96bn of revenue at a 29% EBIT margin in the latest fiscal year, having compounded the top line at 8.2% over the historical window. Market capitalisation stands at $398.24bn with $500mn of net cash.

Consensus EPS of $13.77 gives an NTM figure of $13.77, i.e. 19.0x at today's price.

For context, the Street's mean 12-month target is $285.00 (+9%, 24 analysts). Our model-only target of $298.14 sits 5% above it; the published target gives the consensus a 30% weight, a deliberate hedge against model error that we disclose rather than hide.

A reverse DCF shows the market is discounting year-one revenue growth of 8.2% against our 7.0% base — the price already discounts more than we model.

Priced like the sell-side prices it: a target multiple on forward earnings and EBITDA (peer-anchored, adjusted for growth and earnings durability), cross-checked against a 10-year FCFF DCF whose growth decays and whose margins mean-revert.

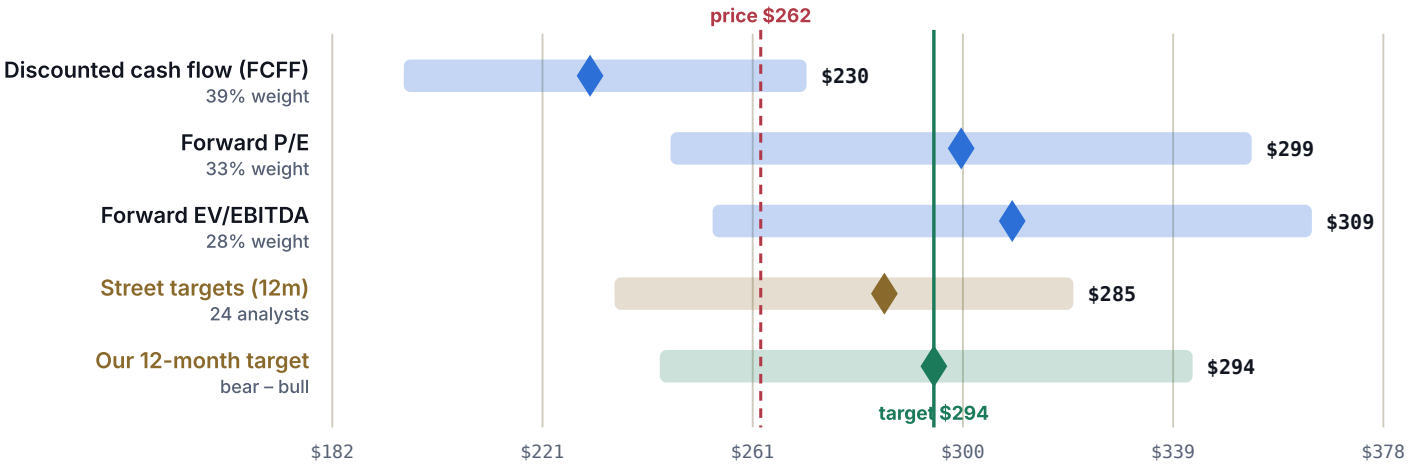
KEY DATA

Market cap	**$398.24bn**
Enterprise value	**$397.74bn**

Net debt	**($500mn)**
Net debt / EBITDA	**net cash**
EV / EBITDA (LTM)	**13.7x**
P/E (LTM)	**20.4x**
FCF yield (LTM)	**4.8%**
Dividend yield	**0.9%**
Beta	**1.12**
Diluted shares	**1,520mn**

02 VALUATION SUMMARY — WHAT EACH LENS SAYS

EXHIBIT 1 · VALUE PER SHARE BY LENS VS. PRICE, STREET AND OUR 12-MONTH TARGET



LENS	TYPE	FAIR VALUE TODAY	RANGE	WEIGHT	STATUS
Discounted cash flow (FCFF)	INTRINSIC	$230.27	$195.79 – $270.37	39%	USED
Forward P/E	RELATIVE	$299.27	$245.40 – $353.14	33%	USED
Forward EV/EBITDA	RELATIVE	$308.77	$253.21 – $364.32	28%	USED
Blended fair value (today)		**$275.08**	**$228.28 – $324.06**		
× (1 + Ke) − dividends → model 12-month target		$298.14			
Street mean target (weight 30%)		$285.00	$235.00 – $320.00		
Published 12-month price target		**$294.20**	**$243.41 – $342.17**		**+12%**

Confidence: High

- 3 independent lenses agree on a valuation
- lens dispersion is tight (CV 13%)
- model target is within 25% of the Street
- 1 data-quality / earnings-quality flag(s)

Guardrails & disclosures

> Target anchored 30% to the Street consensus ($285.00, 24 analysts); model-only target $298.14.

> No analyst EPS consensus available; forward EPS is derived from trailing earnings and revenue growth.

03 THE LENSES IN DETAIL

Each lens is an independent answer to *what is a share worth?* Relative lenses apply a target multiple to forward numbers; the DCF values the cash flows; sector lenses use the model that fits the business. Every input is shown so any number can be challenged.

Discounted cash flow (FCFF) INTRINSIC

$230.27

$195.79 – $270.37 · 39% weight

WACC	9.10%
Terminal growth	2.50%
PV of explicit FCFF	$161.65bn
PV of terminal value	$188.15bn (54% of EV)
Enterprise value	$349.81bn
− Net debt & minorities	$-0.20bn
Equity value	$350.01bn
Value per share	$230.27

10-year FCFF DCF: consensus for the near years, geometric growth decay, mean-reverting margins, terminal reinvestment tied to growth/ROIC. Range = bear/bull scenarios.

Forward P/E RELATIVE

$299.27

$245.40 – $353.14 · 33% weight

Consensus EPS	$13.77 (FY2026)
Forward EPS	$13.77
Anchor P/E	22.7x — 60% peer median 23.8x (n=5) + 40% Industrial equipment reference 21.0x
Growth adjustment	×0.96 (8.8% durable growth vs 10.0% sector)
Earnings-durability factor	×1.00
Leverage adjustment	×1.00
Target P/E	21.7x
Value per share	$299.27

Target multiple x NTM EPS. The multiple is anchored on peers/sector, then scaled for durable growth, leverage and how far forward earnings sit above what the business has historically earned.

Forward EV/EBITDA RELATIVE

$308.77

$253.21 – $364.32 · 28% weight

NTM EBITDA (from consensus earnings)	$31.17bn
Anchor EV/EBITDA	15.7x — 60% peer median 16.8x (n=5) + 40% Industrial equipment reference 14.0x
Growth adjustment	×0.96
Earnings-durability factor	×1.00
Target EV/EBITDA	15.0x
Enterprise value	$469.13bn
− Net debt	$-0.50bn
Value per share	$308.77

Capital-structure-neutral cross-check to forward P/E: it values the operating business and then bridges to equity through net debt.

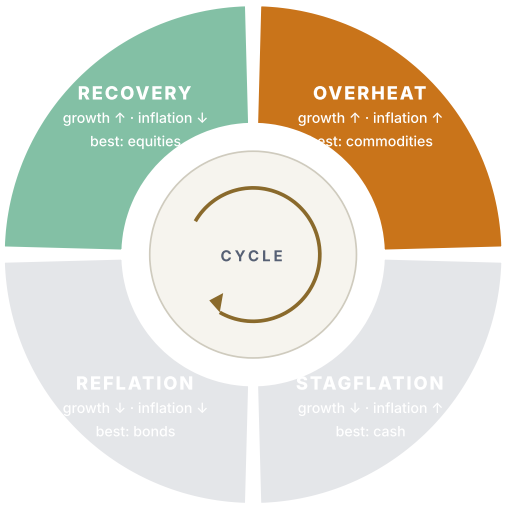
04 EARNINGS QUALITY & CYCLE

Trailing EPS	$12.87
Consensus EPS FY2026	$13.77
Consensus EPS FY2027	–
NTM EPS used	**$13.77**
Through-cycle (historical average) EPS	$10.09
Forward ÷ through-cycle	1.4x
Durable EPS growth used	8.8%
Earnings-durability factor on multiples	×1.00
Basis	derived from history

No cyclicality flags. Revenue and margins show no peak-to-trough pattern in the reported history, so forward earnings are capitalised at the full target multiple.

Growth source: historical revenue CAGR (capped at 15%). Multiples price *durable* growth, so a one-year recovery step is never extrapolated, and when forward EPS is far above what the business has historically earned the target multiple is scaled down — the market pays less for peak earnings.

05 WHERE IT SITS ON THE INVESTMENT CLOCK



Overheat and **Recovery** are the phases in which Industrials has historically led, on the classic Merrill Lynch Investment Clock sector map (growth × inflation, rotating clockwise: Recovery → Overheat → Stagflation → Reflation).

Illustrative sector affinity, not a call on where the economy is today: this tool reads company fundamentals and consensus, not macro data. Use it to ask whether the thesis above needs the cycle to cooperate.

06 FINANCIAL SUMMARY & VALUATION

$, PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	$81.09bn	$85.96bn	$91.98bn	$97.24bn	$101.92bn	$106.16bn
growth	+8.0%	+6.0%	+7.0%	+5.7%	+4.8%	+4.2%
EBITDA	$26.92bn	$28.97bn	$31.17bn	$32.90bn	$34.42bn	$35.78bn
EBIT margin	28.0%	28.5%	28.7%	28.6%	28.6%	28.5%
EPS	$11.76	$12.87	$13.77	$14.54	$15.22	$15.83
FCFF/share	$11.67	$12.60	$13.65	$14.46	$15.14	$15.73
EV/EBITDA	14.8x	13.7x	12.8x	12.1x	11.6x	11.1x
P/E	22.3x	20.4x	19.0x	18.0x	17.2x	16.5x
FCF yield	4.5%	4.8%	5.2%	5.5%	5.8%	6.0%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT − LTM interest) × (1−t).

07 FINANCIAL MODEL — HISTORICALS & PROJECTED P&L

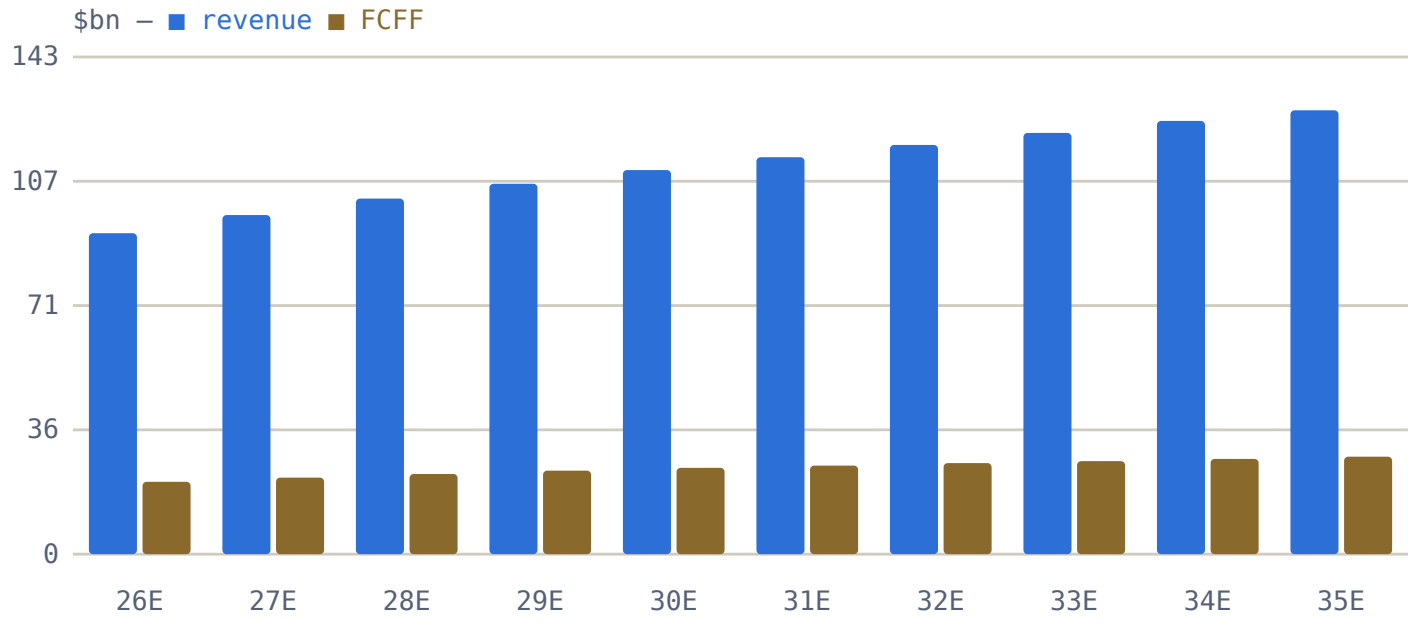
FISCAL YEAR	REVENUE	GROWTH	EBIT	MARGIN	NET INCOME	EPS
2022A	$70.17bn	—	$18.95bn	27.0%	$15.06bn	$9.53
2023A	$75.09bn	+7.0%	$20.65bn	27.5%	$16.44bn	$10.54
2024A	$81.09bn	+8.0%	$22.71bn	28.0%	$18.11bn	$11.76
2025A	$85.96bn	+6.0%	$24.50bn	28.5%	$19.56bn	$12.87
2026E	$91.98bn	+7.0%	$26.39bn	28.7%	$20.93bn	$13.77
2027E	$97.24bn	+5.7%	$27.84bn	28.6%	$22.10bn	$14.54
2028E	$101.92bn	+4.8%	$29.12bn	28.6%	$23.14bn	$15.22
2029E	$106.16bn	+4.2%	$30.26bn	28.5%	$24.07bn	$15.83
2030E	$110.08bn	+3.7%	$31.31bn	28.4%	$24.92bn	$16.39
2031E	$113.77bn	+3.4%	$32.29bn	28.4%	$25.71bn	$16.91
2032E	$117.30bn	+3.1%	$33.22bn	28.3%	$26.46bn	$17.41
2033E	$120.75bn	+2.9%	$34.12bn	28.3%	$27.19bn	$17.89
2034E	$124.15bn	+2.8%	$35.08bn	28.3%	$27.97bn	$18.40
2035E	$127.25bn	+2.5%	$35.96bn	28.3%	$28.68bn	$18.87

“A” marks figures taken directly from analyst consensus; other forecast rows are the DCF base case with flat interest and the normalised tax rate.

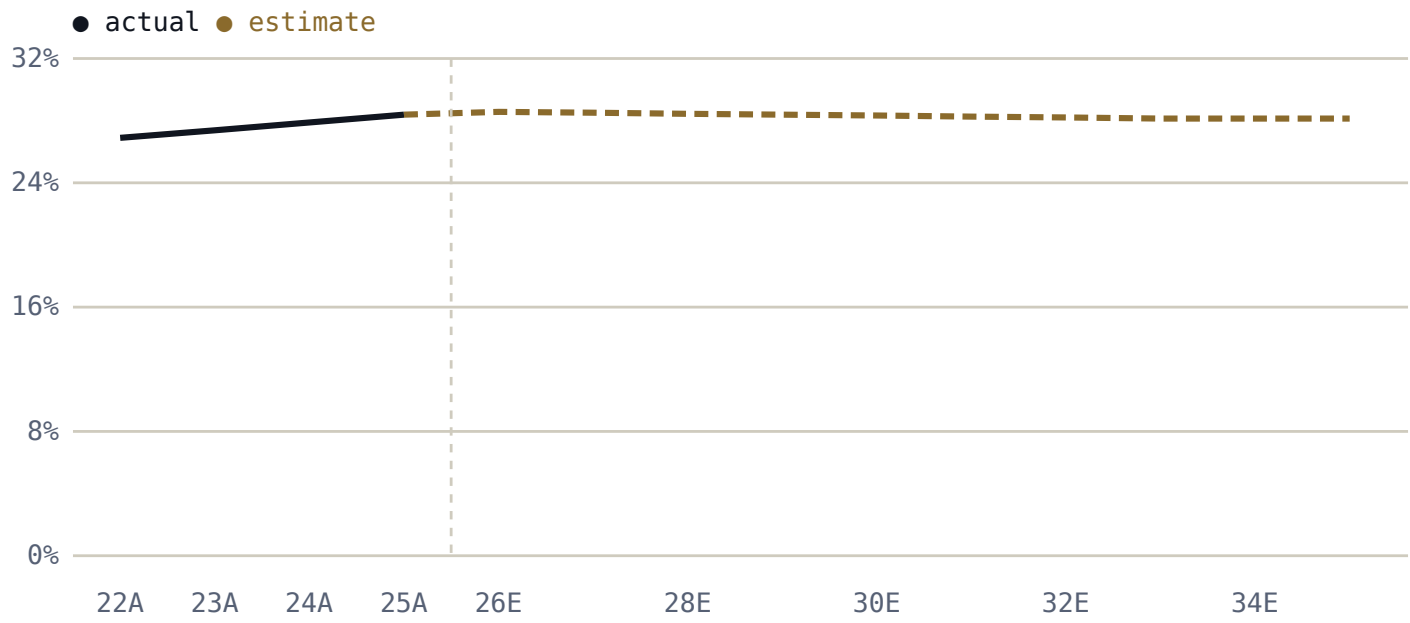
08 DCF CROSS-CHECK — DRIVERS & SENSITIVITY

DRIVER	PATH	WHY
Revenue growth	`7.0% → 2.5% over 10y`	Year 1 follows consensus revenue for FY2026. Growth then decays geometrically from 7.0% to the 2.5% terminal rate as revenue compounds toward $127bn — competitive entry and the law of large numbers compress incremental growth; no single year's step is ever extrapolated.
EBIT margin	`28.5% → 28.7% → 28.3% (compresses)`	Reported margin is 28.5%; year-1 margin is 28.7%. This is a compounder, so we revert only 30% of the way toward the through-cycle average of 27.3%, landing at 28.3% — crediting some but not all of current profitability as durable.
Reinvestment (capex)	`4.8% → 5.7% of sales`	Starts at the historical capex intensity (4.8%) against D&A of 5.2%, converging to 1.10x D&A by the terminal year — a steady state that funds growth without permanent over- or under-investment.
Working capital	`16.5% of Δrevenue`	Incremental working capital absorbs 16.5% of each year's revenue increase (historical median) — a cash drag as the business scales.
Tax rate	`19.0%`	Normalised to the trailing effective rate of 19.0%, applied to EBIT to derive NOPAT.
Terminal growth	`2.5%`	At or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Terminal reinvestment is g/ROIC.

REVENUE & FCFF



EBIT MARGIN PATH



EV → EQUITY BRIDGE

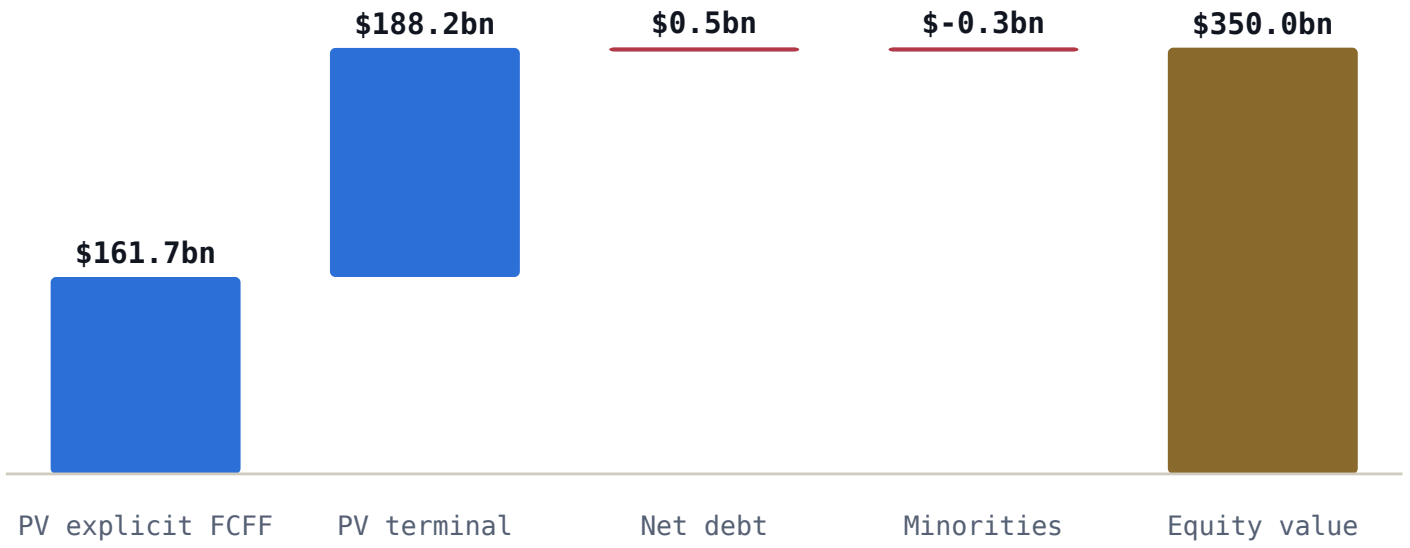


EXHIBIT · DCF VALUE PER SHARE, WACC × TERMINAL GROWTH (VS. PRICE)

WACC \ G	1.5%	2.0%	2.5%	3.0%	3.5%
7.6%	$268	$281	$296	$315	$338
8.4%	$239	$248	$259	$272	$288
9.1%	$215	$222	**$230**	$240	$251
9.9%	$196	$201	$207	$214	$223
10.6%	$180	$184	$189	$194	$200

Shaded against the current price: green = above, red = below. Outlined cell = base case.

The business earns **52.5%** on capital versus a **9.1%** cost of capital — a positive spread of **4336bps**, so growth creates value. Self-funding growth of 2.5% (reinvestment 5% × ROIC) frames how much of the terminal growth is organically financed rather than assumed.

Model diagnostics

Terminal EV/EBITDA vs today	10.1x implied vs 13.7x current	OK
Terminal ROIC vs WACC	52.5% vs 9.1%	OK

09 RATIO ANALYSIS — LEVERAGE, COVERAGE & RETURNS

METRIC	FY2022A	FY2023A	FY2024A	FY2025A
Net debt / EBITDA	0.1x	0.0x	0.0x	-0.0x
EBIT / interest	34.4x	37.5x	41.3x	44.5x
ROE	47.1%	48.4%	50.3%	51.5%
ROIC (NOPAT/IC)	46.1%	48.2%	50.9%	52.9%
FCF conversion (FCFF/NOPAT)	96%	96%	96%	97%
Capex / D&A	0.92x	0.92x	0.92x	0.92x

10 FACTOR SENSITIVITY MAP — WHAT MOVES THIS STOCK

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Macro	**Interest rates / discount rate**	HIGH	75bps of WACC ≈ $25.80/sh (11%); TV = 54% of EV	Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.
Macro	**Economic cycle / demand**	LOW	Revenue growth volatility σ = 1.7% over 5y	Historical top-line dispersion is the cleanest read on cyclicality: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.
Macro	**Inflation / input costs**	MEDIUM	−100bps EBIT margin ≈ −$8.45/sh; margin σ = 0.9%	Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.
Macro	**Credit & refinancing**	LOW	Net cash position; EBIT/interest = 44.5x	A net-cash balance sheet removes refinancing risk and turns higher rates into interest income rather than a cost.
Micro	**Competitive erosion**	LOW	ROIC−WACC spread = 4,336bps	Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction.

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Micro	**Execution vs expectations**	MEDIUM	`Implied y1 growth 8.2% vs base 7.0%`	Market expects MORE than our base — priced for execution. The equity reprices on the gap between delivery and what the tape already discounts, not on absolute results.
Micro	**Capital intensity**	LOW	`Capex/D&A = 0.92x; capex = 4.8% of sales`	Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates true capital needs and cash conversion runs ahead of earnings.
Micro	**Pricing power / margin stability**	LOW	`EBIT margin σ = 0.9% (range 26%–29%)`	Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.

11 CATALYSTS & WHAT EACH LEVER IS WORTH

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$25.80/share (11%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$8.79/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$8.45/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 7.0% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

12 KEY RISKS

- Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.
- Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.
- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

Methodology & disclaimer. Generated by an automated, sector-aware valuation engine from public data (DEMO (synthetic)). DEMO was classified as **Standard (forward multiples + DCF)**. The 12-month price target triangulates several lenses — target multiples on consensus forward earnings (peer/sector-anchored and adjusted for durable growth, leverage and earnings durability), a 10-year DCF with decaying growth and mean-reverting margins, and sector-specific models — weights them by profile, applies plausibility guardrails, rolls the result forward at the cost of equity net of dividends, and lightly anchors it to Street consensus when available. Reference multiples are long-run developed-market medians; live peer medians replace them when fetched. Forward numbers come from analyst consensus where available and from reported figures otherwise; they are not a substitute for fundamental judgement. Nothing here is investment advice, a recommendation, or an offer to transact. Do your own due diligence.